Rising commodity prices can affect the stock market, too. For example, natural gas and oil prices affect airlines, chemicals, utilities, oil companies, oil service companies, refiners, and so on.

The Federal Reserve raising interest rates to slow the economy may push it into a recession. The prospect of rising rates is never a good omen for stocks, and they often react badly to the news.

After you enter a trade, do you cash out quickly, savoring a short-term profit? Do you hold on for the long term and weather the loss? The answer to these questions you should know before trading. Switching your attitude to a long-term holding as price drops in a short-term trade is a game best left to amateurs. They are the ones who ride a position down and sell just before it bottoms.

Statistics

Table 73.2 shows general statistics.

Number found. I found 1,168 wedges in my house and called the exterminator. They were in 651 stocks with the first found in July 1991 and the most recent in December 2018. Not all stocks covered the entire range, and some no longer trade. Because bear markets with downward breakouts were below the minimum threshold for this edition, they are not included in the statistics. Those are the ones the exterminator handled.

Reversal (R), continuation (C) occurrence. Wedges split almost evenly between reversals and continuations of the price trend. Bull markets tended to see a few more patterns act as continuations. Bear markets favored reversals.

Reversal/continuation performance. There's not a lot of difference between reversal and continuation performance in this chart pattern.

Average rise or decline. The average rise and decline are below the average performance of all chart pattern types. Today's headline: This chart pattern underperforms.

Standard & Poor's 500 change. Notice the effect the market has on the average rise or decline. When the market and breakout direction agree (bull market, upward breakout), the average rise tends to be larger than the